

Power BI Financial Performance Evaluation Report

I. Introduction

This report evaluates the financial performance of a manufacturing company across six products and five countries using sales and cost data from September 2013 to 2014. The analysis focuses on profitability drivers including contribution margins, cost structure, discount policies, and sales trends. Particular attention is given to the Velo product, which reports operating losses despite substantial sales and positive contribution margin.

II. Evaluation of Financial Performance

1, Overall sales performance and market distribution

The company demonstrates strong revenue generation with relatively balanced geographic distribution. Net sales across countries are similar: **Canada (~\$27.2M), France (~\$27.1M), and the United States (~\$27.0M)** lead total revenue, followed by **Germany (~\$24.7M)** and **Mexico (~\$21.6M)**. This diversified market structure reduces reliance on any single region.

Revenue concentration is more evident at the product level. **VTT (~\$49M)** and **Amarilla (~\$48M)** dominate total sales, while **Velo (~\$22M)** forms a second-tier product. Other products contribute significantly less revenue.

Sales also show clear seasonal variation. In 2014, peak months occurred in **June (~\$12.5M), October (~\$12.1M), and December (~\$10.7M)**, indicating the company's ability to generate strong demand during certain periods.

However, high revenue levels do not necessarily translate into strong profitability.

Product profitability and margin structure

Product-level analysis reveals significant variation in profitability. **Amarilla generates the highest operating income (~\$1.72M)**, followed by **Montana (~\$1.36M)** and **Carretera (~\$0.78M)**. **VTT produces approximately \$0.58M**, while **Paseo operates near break-even (~\$0.04M)**.

Velo is the only product reporting a loss (~-\$0.19M).

Operating margin analysis shows further structural differences. **Montana achieves the strongest margin (~56%)**, followed by **Carretera (~35%)**. In contrast, higher-revenue products such as **Amarilla and VTT operate with much lower margins**, indicating weaker profit efficiency.

This suggests that revenue scale alone is not a reliable indicator of financial performance. Some high-volume products generate limited profitability relative to their sales.

Contribution margin and cost structure

Despite negative operating income, Velo is not unprofitable from a variable-cost perspective. The product still generates **approximately \$3.7M in Total Contribution Margin (TCM)**, meaning it contributes positively after covering variable costs.

The operating loss arises from fixed-cost absorption:

- **Total Contribution Margin: ~\$3.7M Other Fixed Expenses: ~\$0.9M**
- **Fixed Manufacturing Overhead: ~\$2.9M Operating Income: ~-\$0.2M**

This indicates that **fixed manufacturing overhead is the primary driver of Velo's loss**.

Velo also records **approximately 160K units sold**, confirming that the product maintains meaningful market demand. The issue is therefore not weak sales but **insufficient contribution to absorb fixed costs**.

Impact of discount policy

The 3rd chart in Dashboard 2 shows that while fixed costs create structural pressure, **aggressive discounting pushes the product into loss**. In other words, Velo operates with a very narrow profitability buffer. Price reductions quickly eliminate its remaining margin.

Product contribution analysis shows clear differences between scale and efficiency. Amarilla and VTT generate the highest total contribution margins (~\$9.9M and ~\$9.0M) due to large sales volumes (~\$48–49M). However, smaller products such as Montana and Carretera achieve much higher contribution margin ratios (65% and 47%), indicating stronger cost efficiency.

III. Conclusion

The company demonstrates strong sales performance and diversified geographic markets. Products such as **Amarilla, Montana, and Carretera** represent key profit contributors.

However, profitability varies significantly across the product portfolio. The primary concern is **Velo**, which records negative operating income despite meaningful sales volume, this is primarily driven by **high fixed manufacturing overhead combined with aggressive discounting**, which reduces its already limited margin buffer.

As a result, **immediate product discontinuation may not be optimal**, particularly if fixed costs cannot be easily eliminated. A more appropriate response would be to **tighten discount controls, improve pricing discipline, and reassess the allocation of fixed manufacturing overhead**.

Overall, the analysis shows that **the company's profitability is driven not only by sales scale but also by margin efficiency and cost structure**. High-volume products such as Amarilla and VTT contribute most to total profit, while smaller but high-margin products like Montana and Carretera demonstrate superior cost efficiency.

Appendix A: Quantitative Analysis and Calculation Logic

Key financial metrics

The analysis is based on the following financial relationships:

Operating Income = Net Sales – COGS – Other Var Expenses – Other Fixed Expenses

TCM = Net Sales – units sold * (DM + DL + Var overhead) – other var expenses

Contribution Margin Ratio (CM Ratio) = TCM / Net Sales

Reconstructed Operating

Income = TCM – Fixed Manufacturing Overhead – Other Fixed Expenses

Diagnostic logic for Product Velo

Step 1 — Identify loss-making product (scatter plot stacked column chart in Dashboard 2)

Operating income analysis shows **Velo = –\$0.19M**

Step 2 — Test demand strength

Units sold ≈ **160K**

Net sales ≈ **\$22M** Demand therefore remains significant.

Step 3 — Test variable profitability (5th line&bar chart in Dashboard 2)

Total Contribution Margin ≈ **\$3.7M**

The product remains profitable before fixed costs.

Step 4 — Identify loss driver (**waterfall chart in Dashboard 2**)

TCM: **\$3.7M**

Other Fixed Expenses: **\$0.9M**

Fixed Manufacturing Overhead: **\$2.9M**

Operating Income ≈ **–\$0.2M**

Conclusion:

Fixed manufacturing overhead is the primary structural driver of loss.

Step 5 — Identify managerial trigger (clustered column chart in Dashboard 2)

Discount analysis shows:

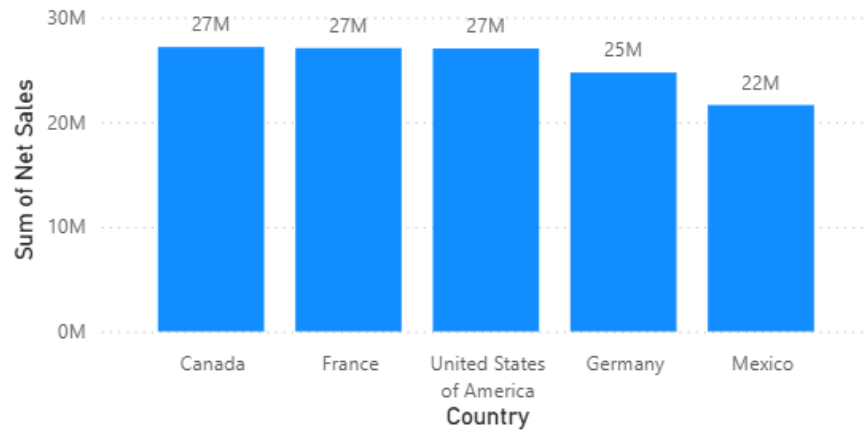
None discount / Low discount → positive profit

Medium / High discount → negative profit / even bigger loss in profit.

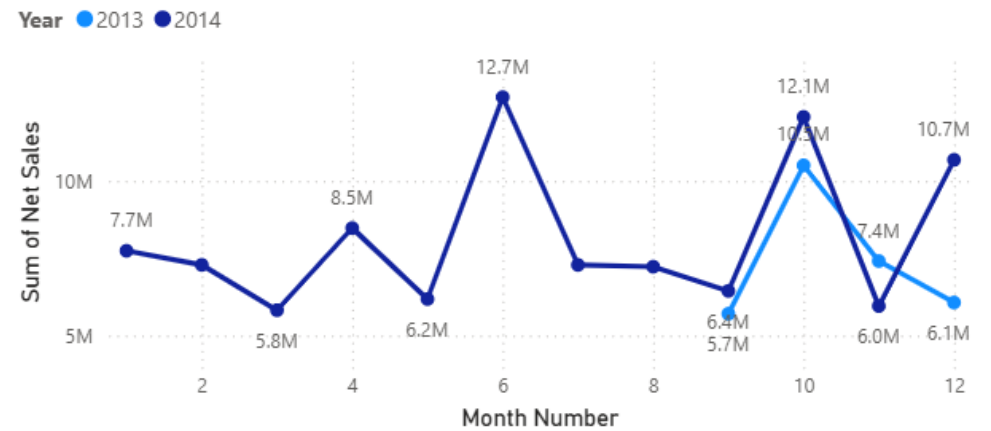
Therefore, **discounting triggers the loss in Operating income.**

Sales Performance and Analysis Dashboard

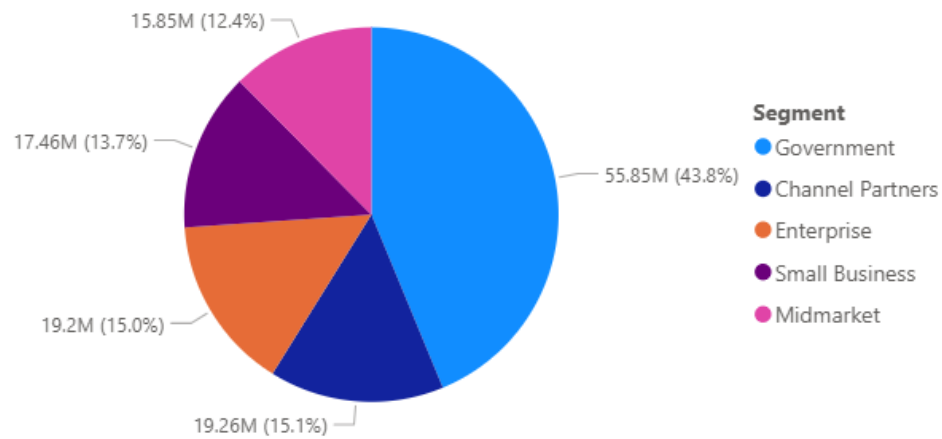
Net Sales by Country



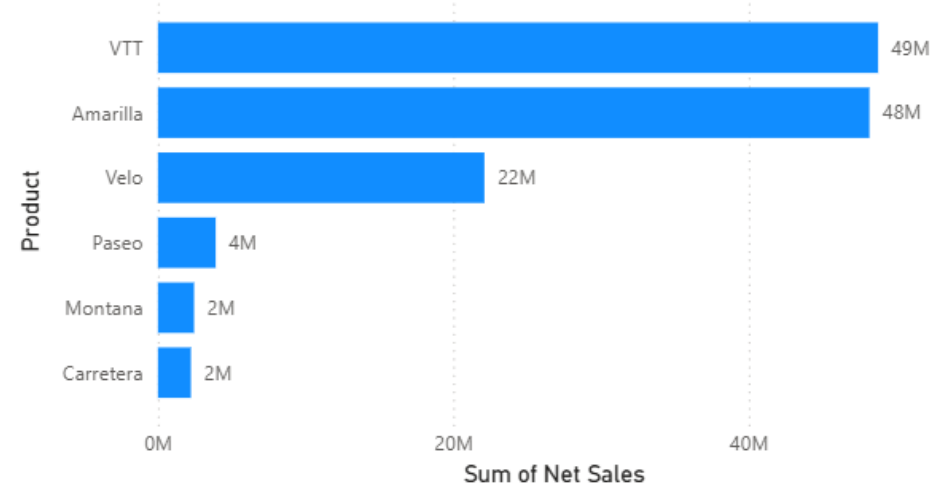
Monthly Net Sales Trend (2013 vs 2014)

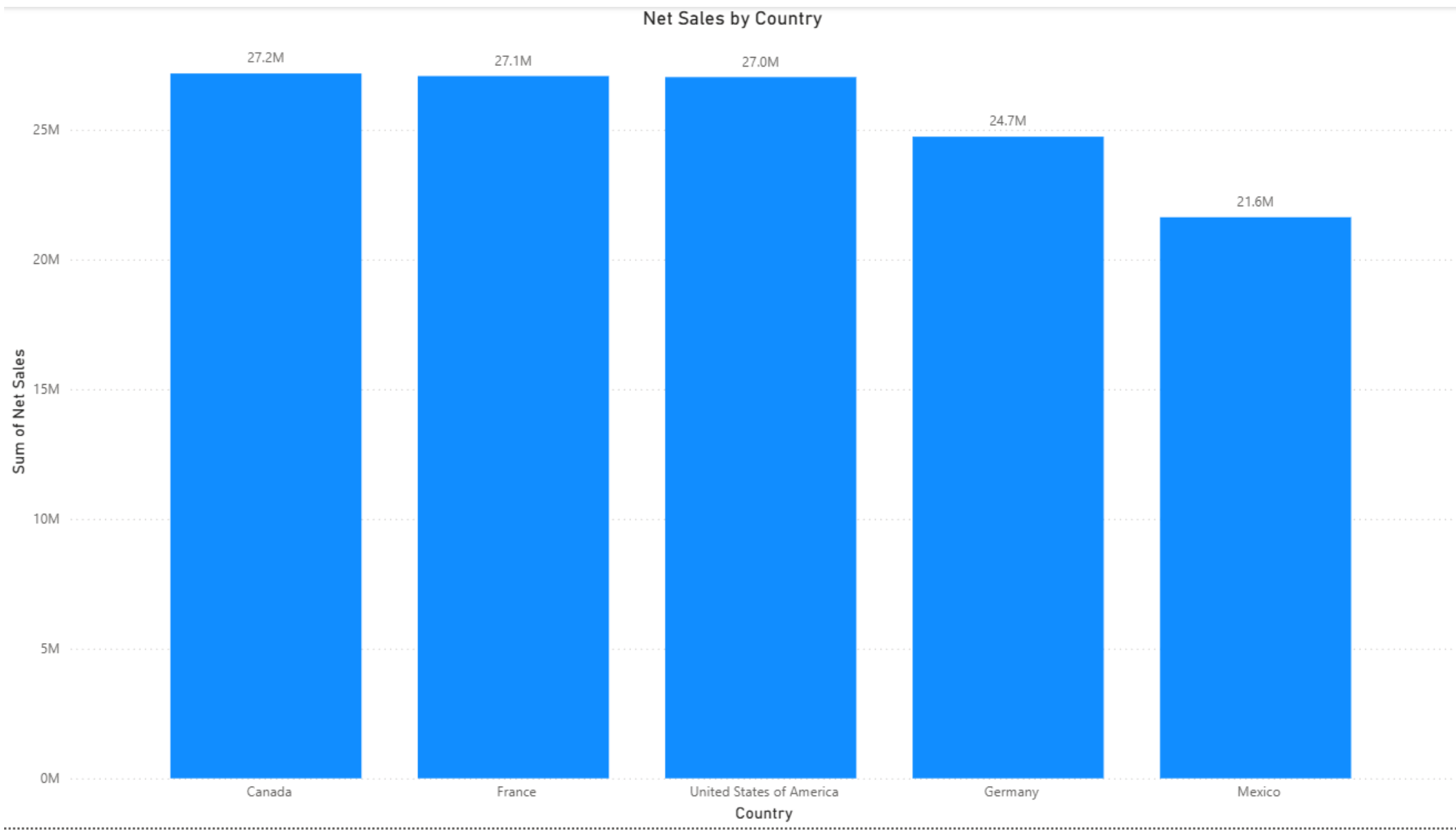


Net Sales by Customer Segment



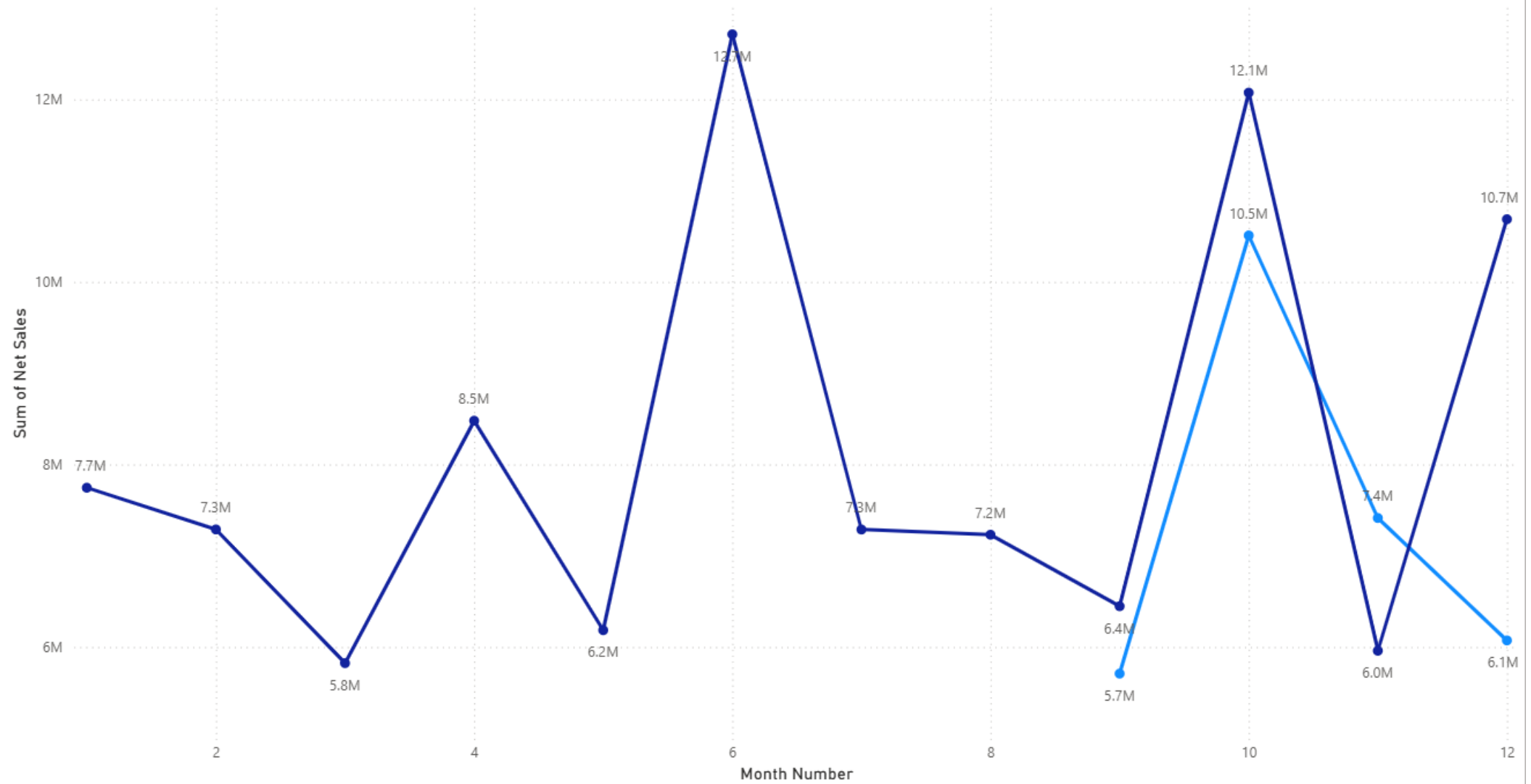
Net Sales by Product



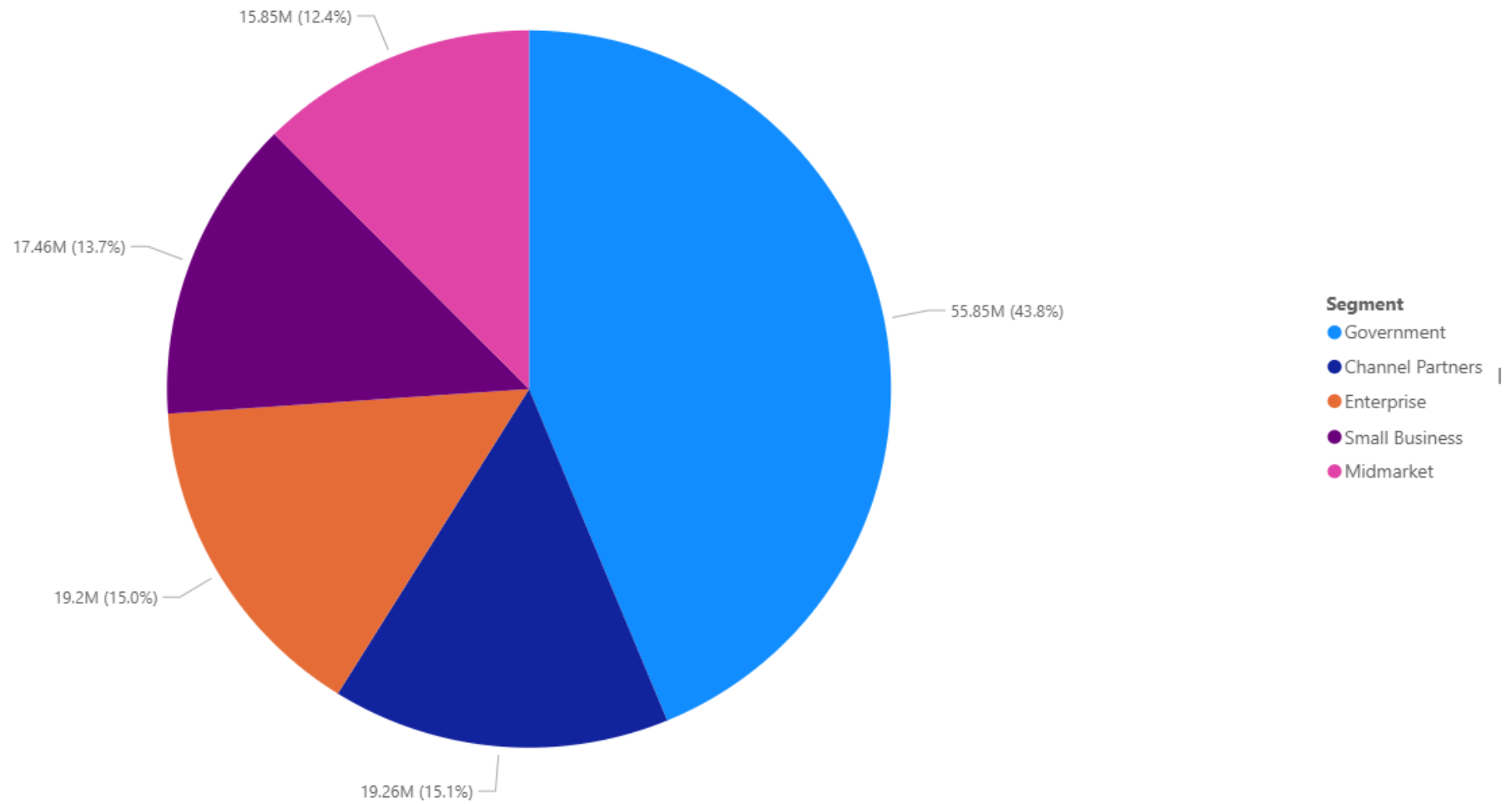


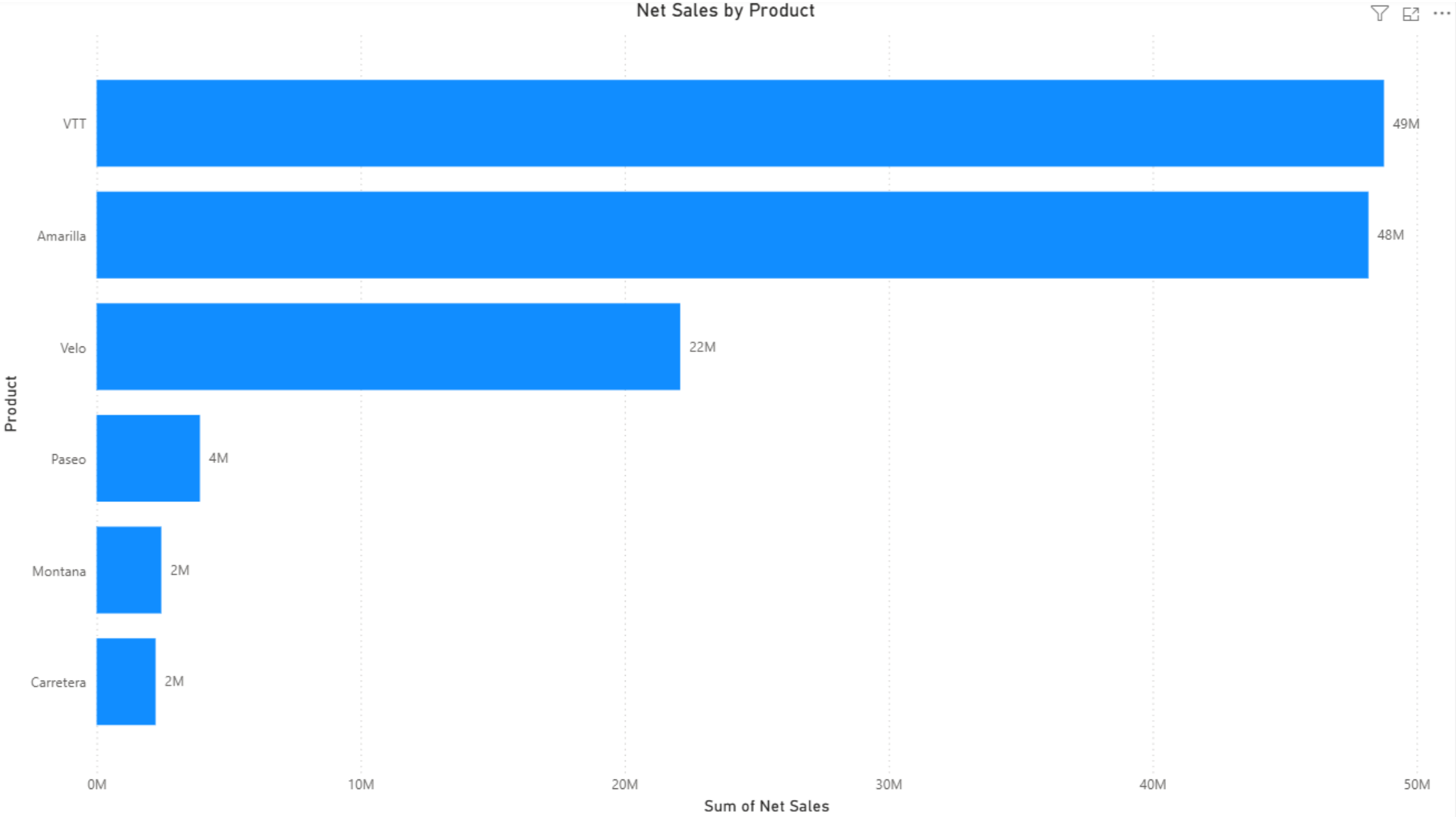
Monthly Net Sales Trend (2013 vs 2014)

Year ● 2013 ● 2014

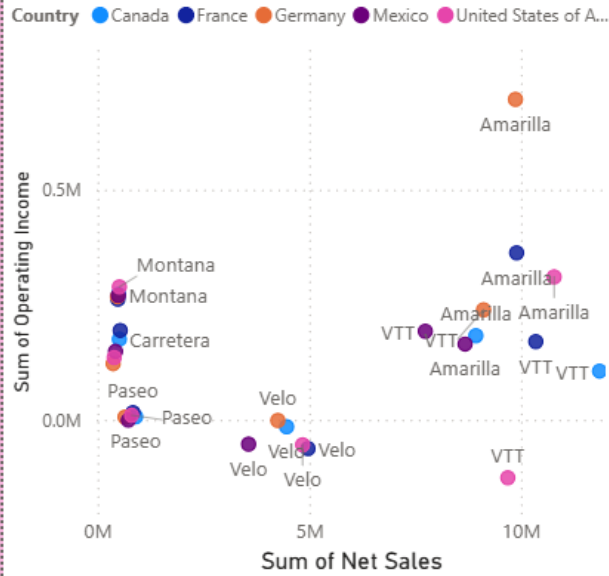


Net Sales by Customer Segment

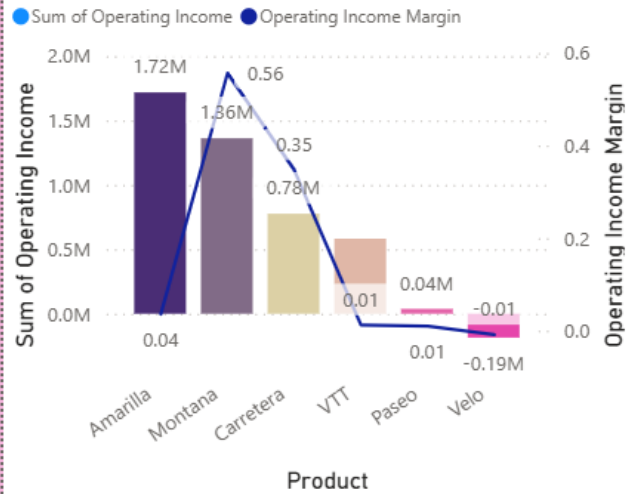




Net Sales and Operating Income by Product and Country

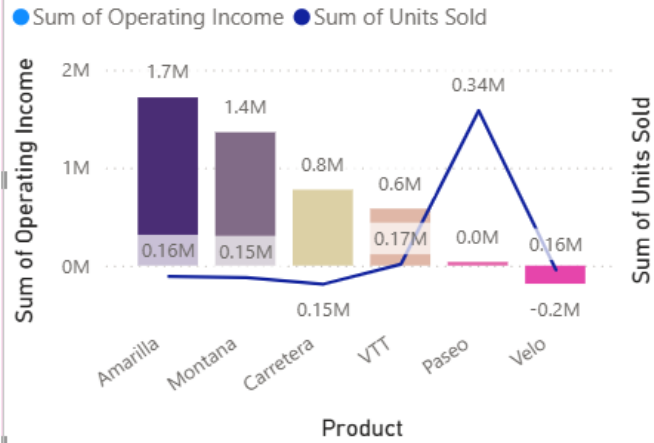


Sum of Operating Income and Operating Income Margin by Product

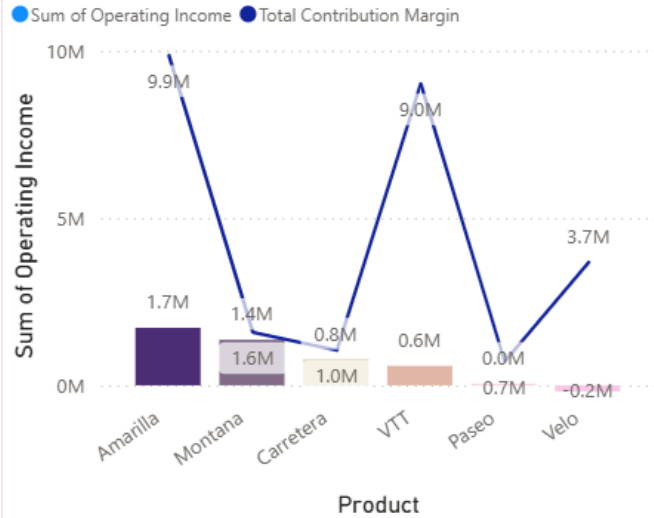


Product Profitability Analysis

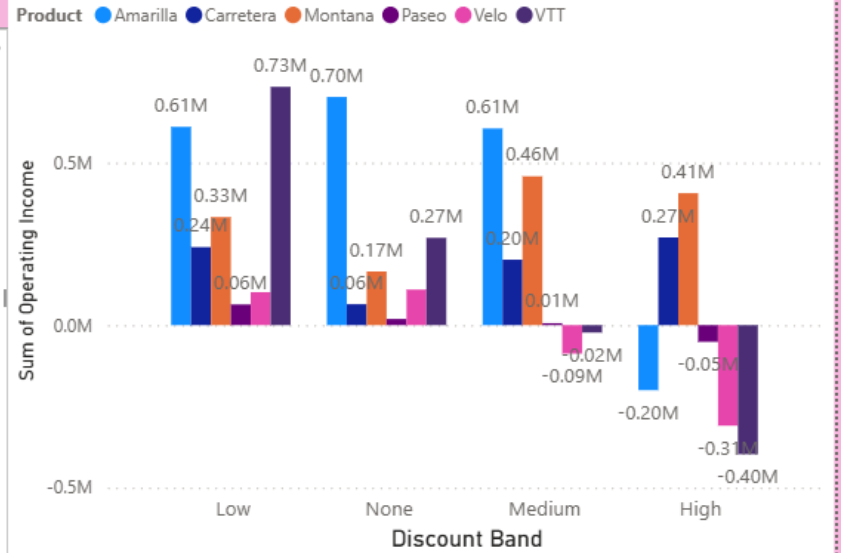
Operating Income and Sum of Units Sold by Product



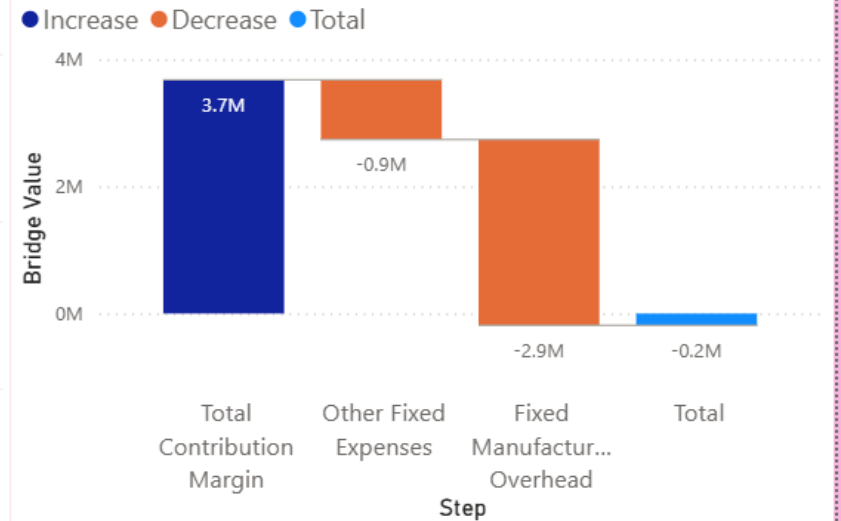
Operating Income and TCM by Product



Net Sales and Operating Income by Product and Country

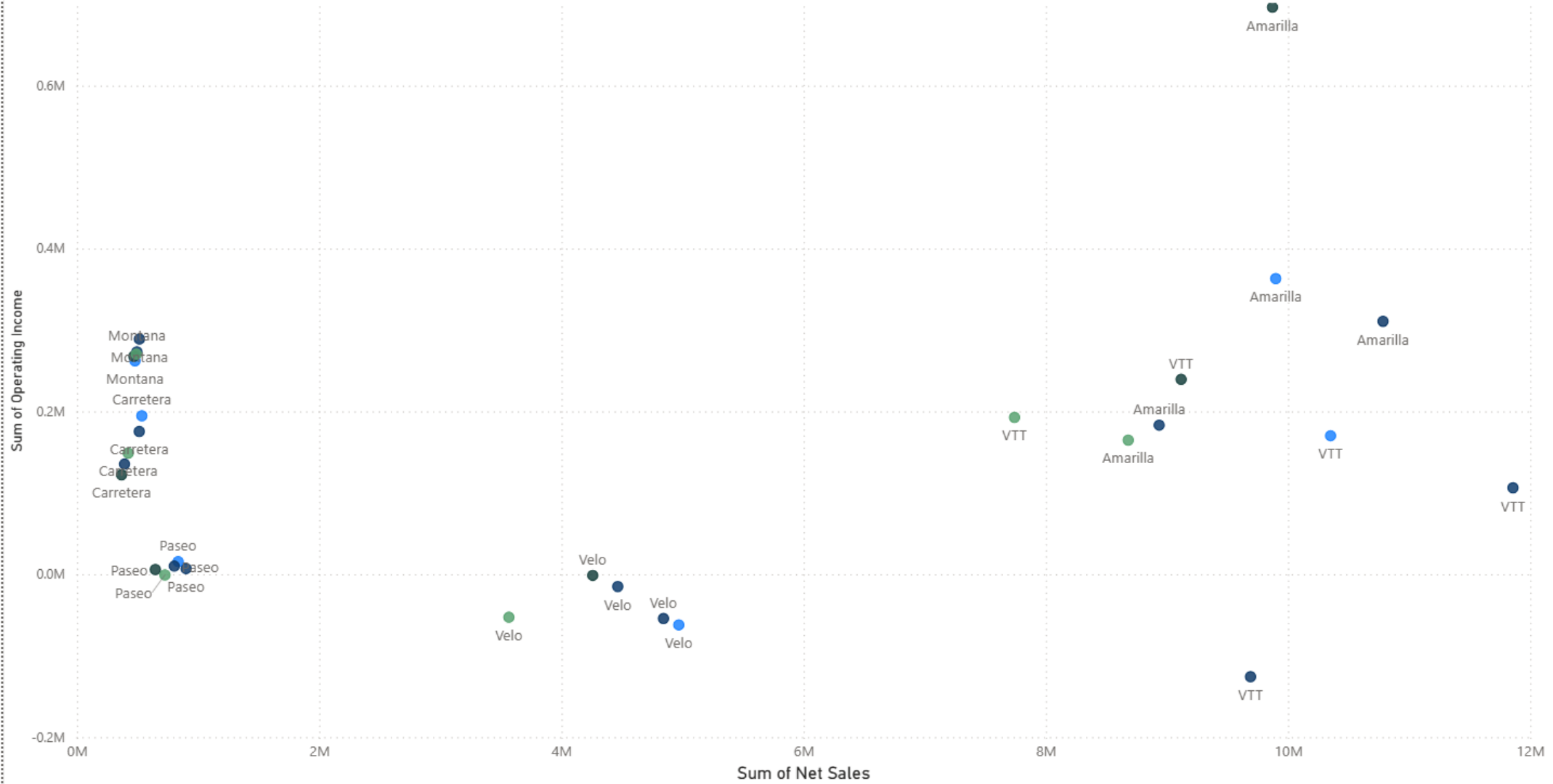


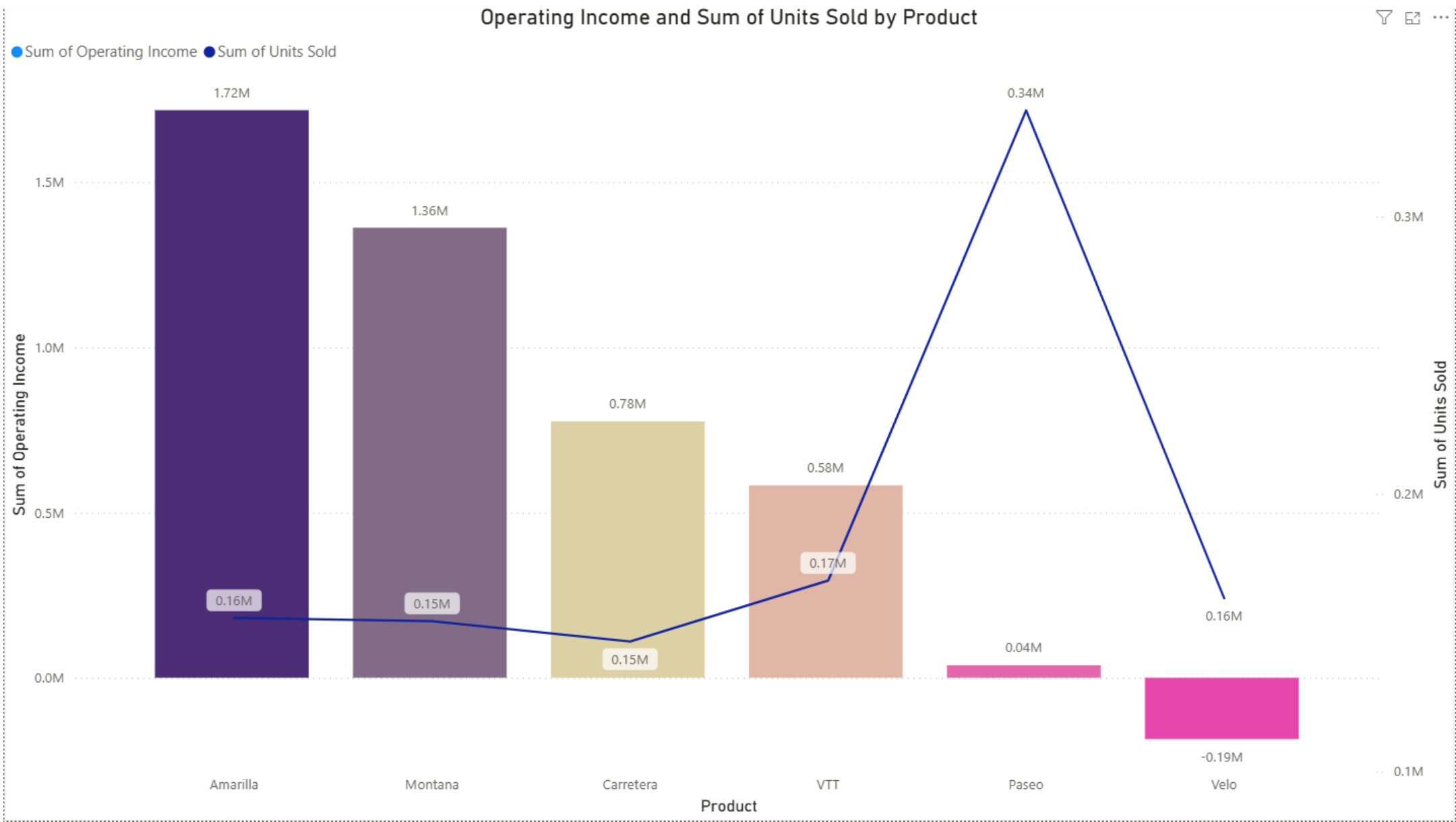
Product of Velo Bridge Value by Step



Net Sales and Operating Income by Product and Country

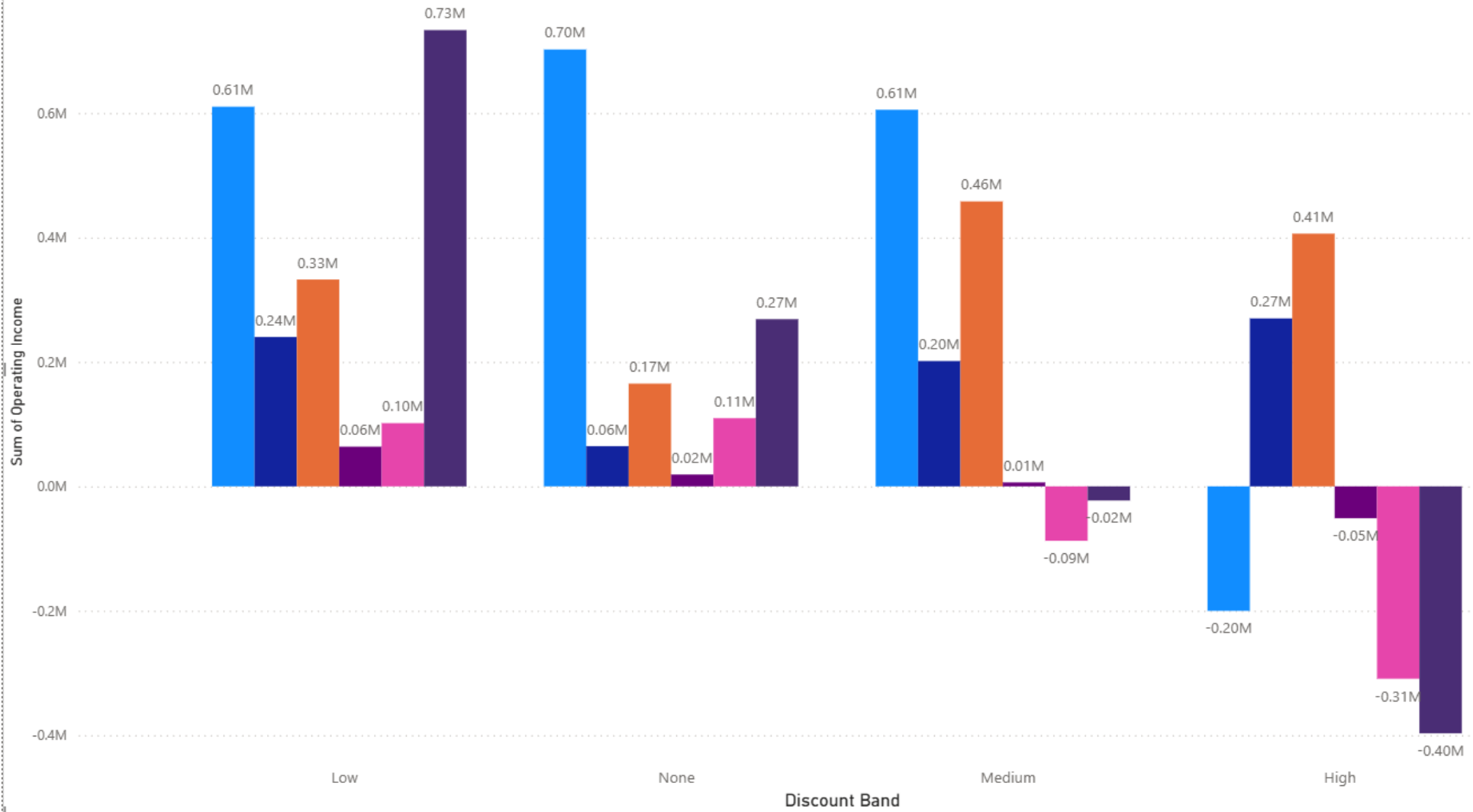
Country ● Canada ● France ● Germany ● Mexico ● United States of America



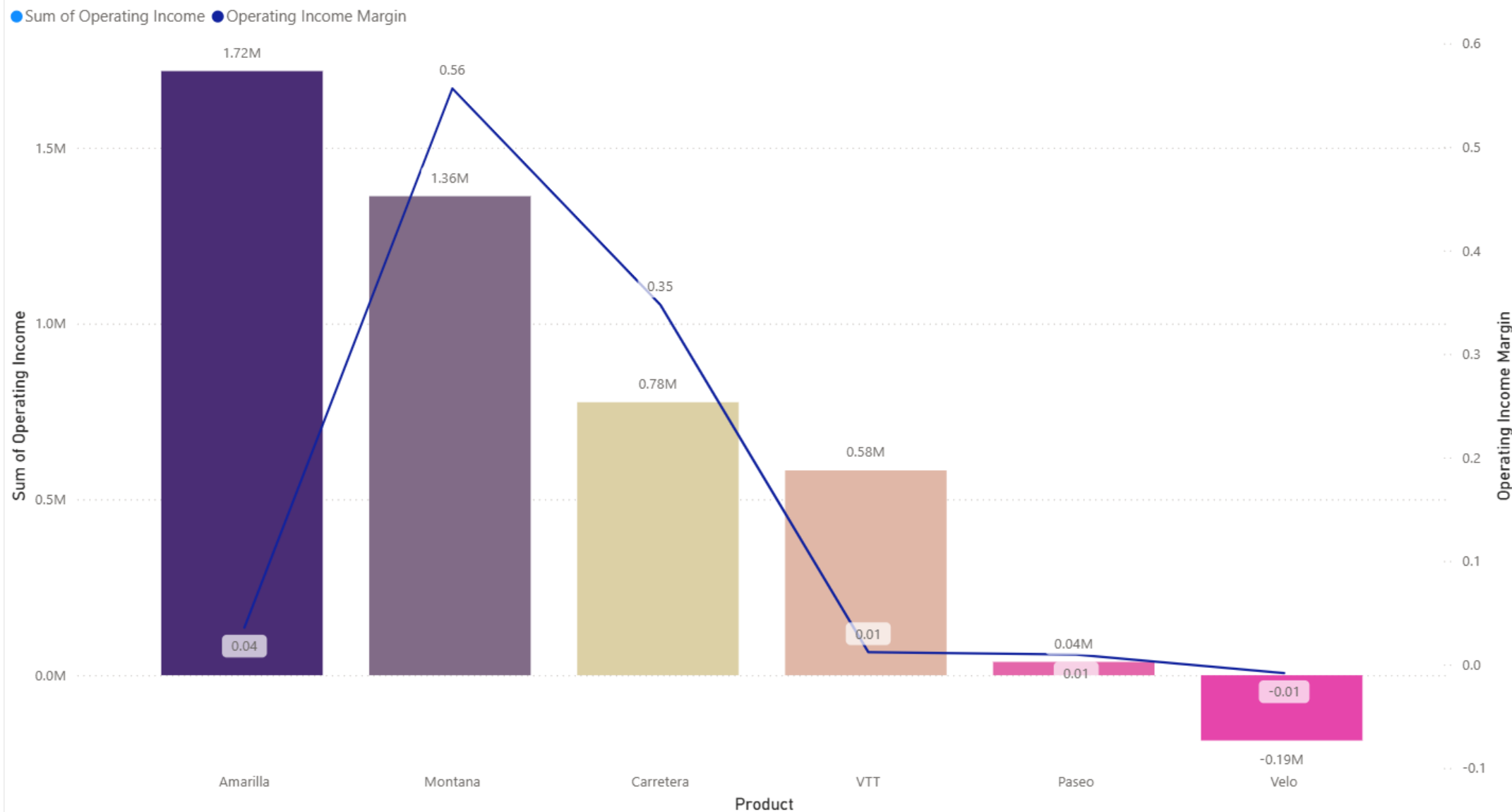


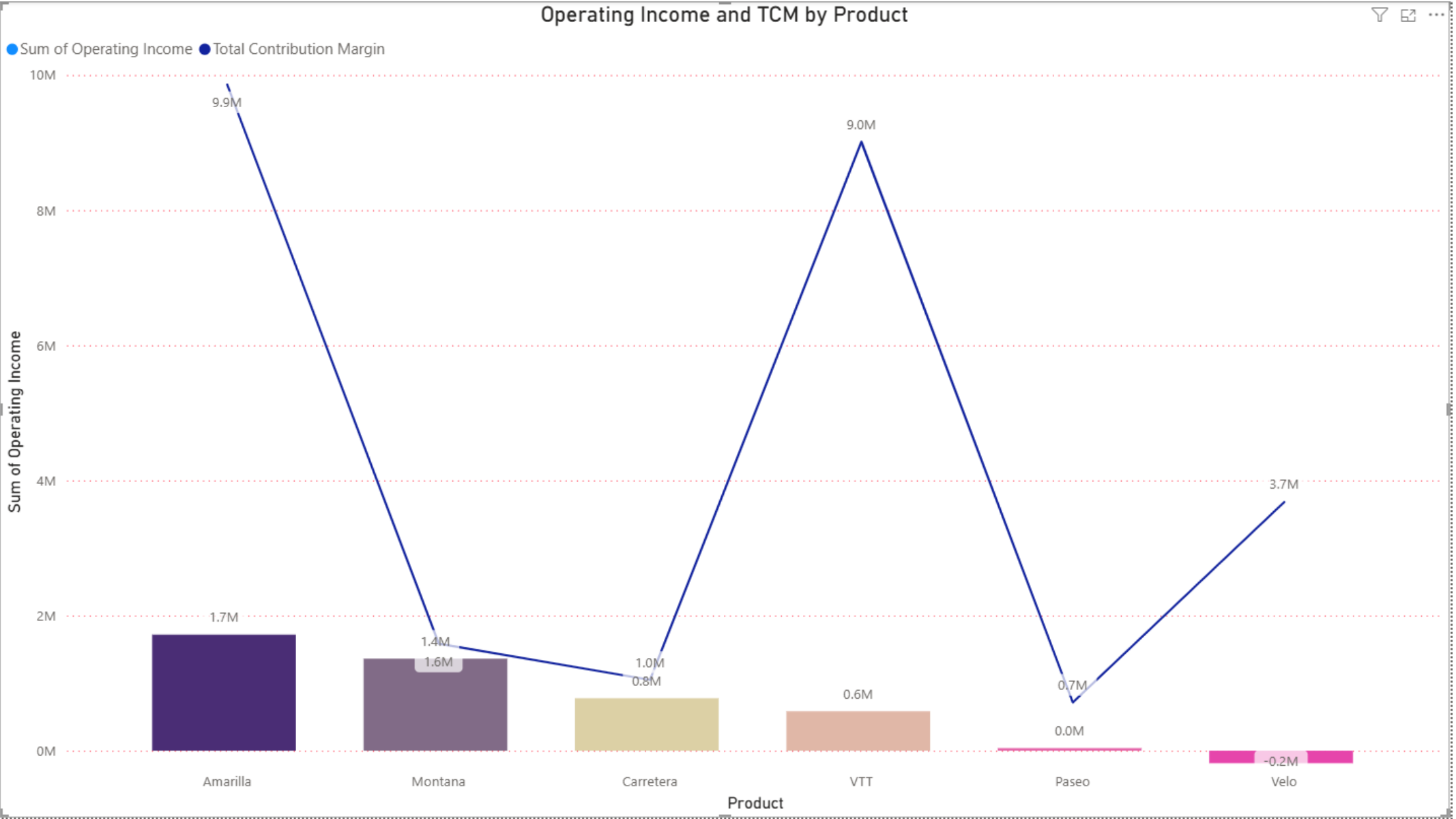
Net Sales and Operating Income by Product and Country

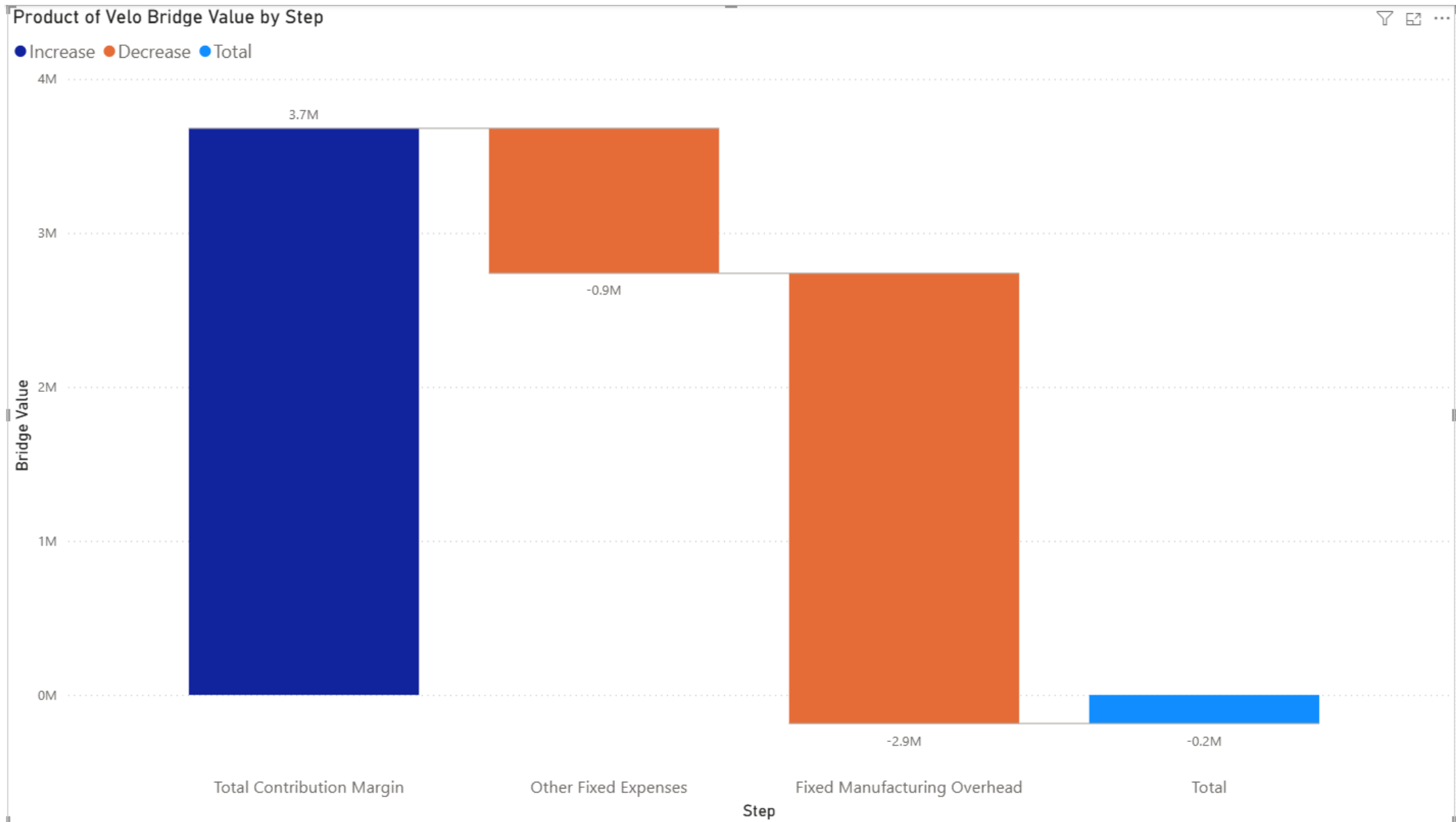
Product Amarilla Carretera Montana Paseo Velo VTT



Sum of Operating Income and Operating Income Margin by Product

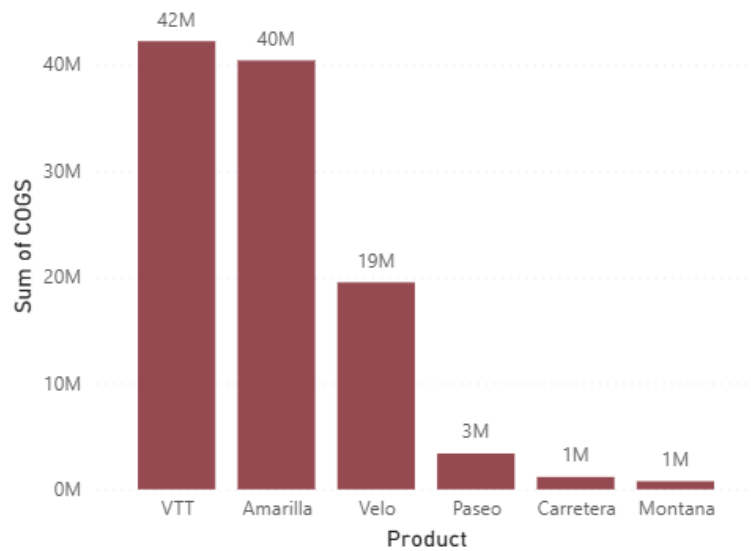




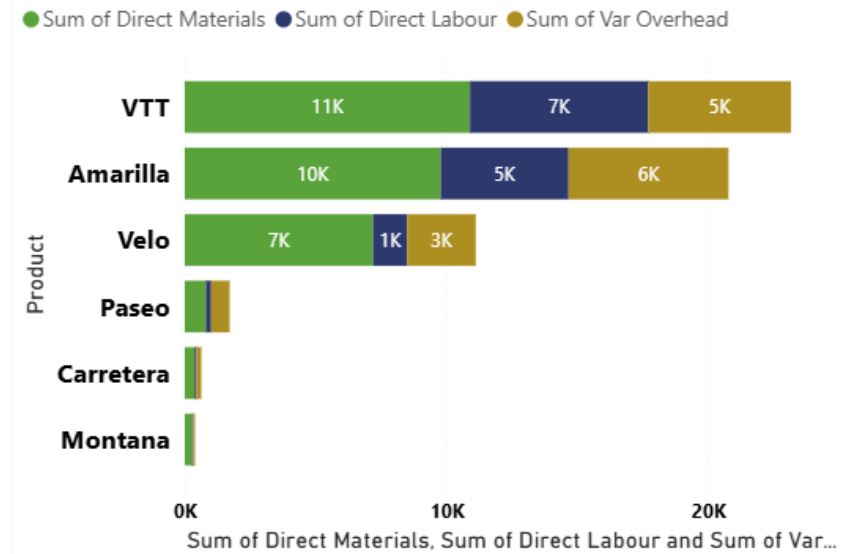


Cost & Efficiency Analysis

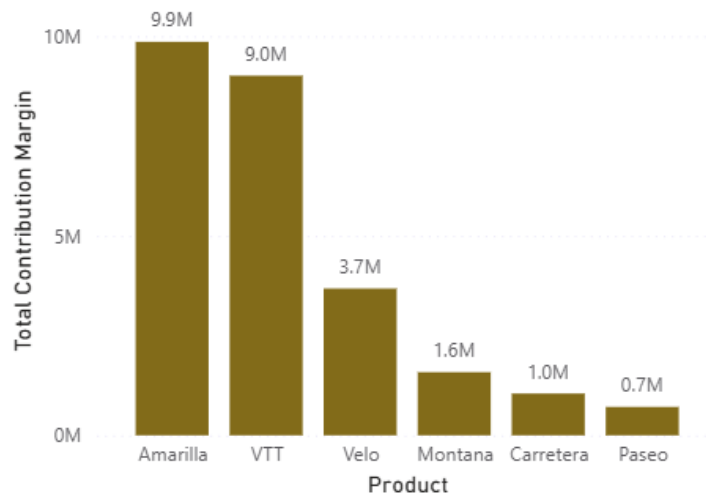
Sum of COGS by Product



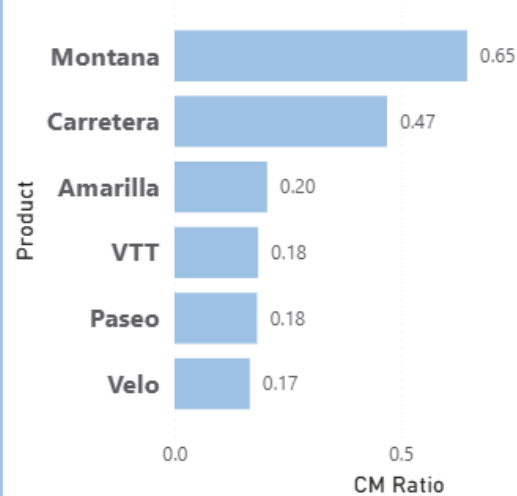
Manufacturing Cost Structure by Product



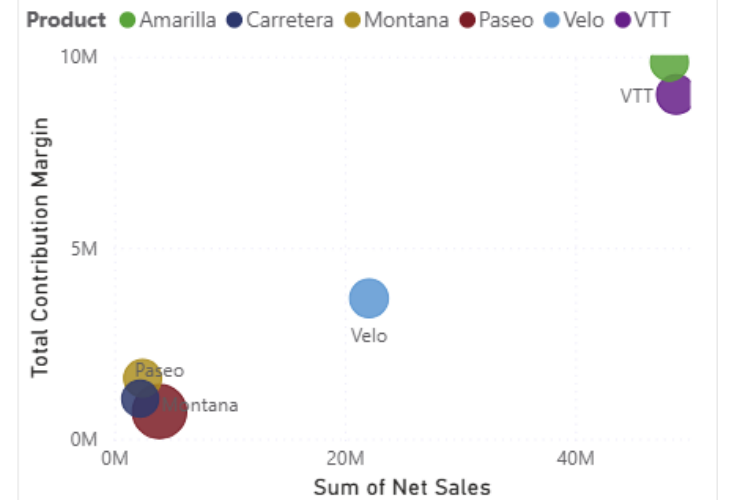
Total Contribution Margin by Product

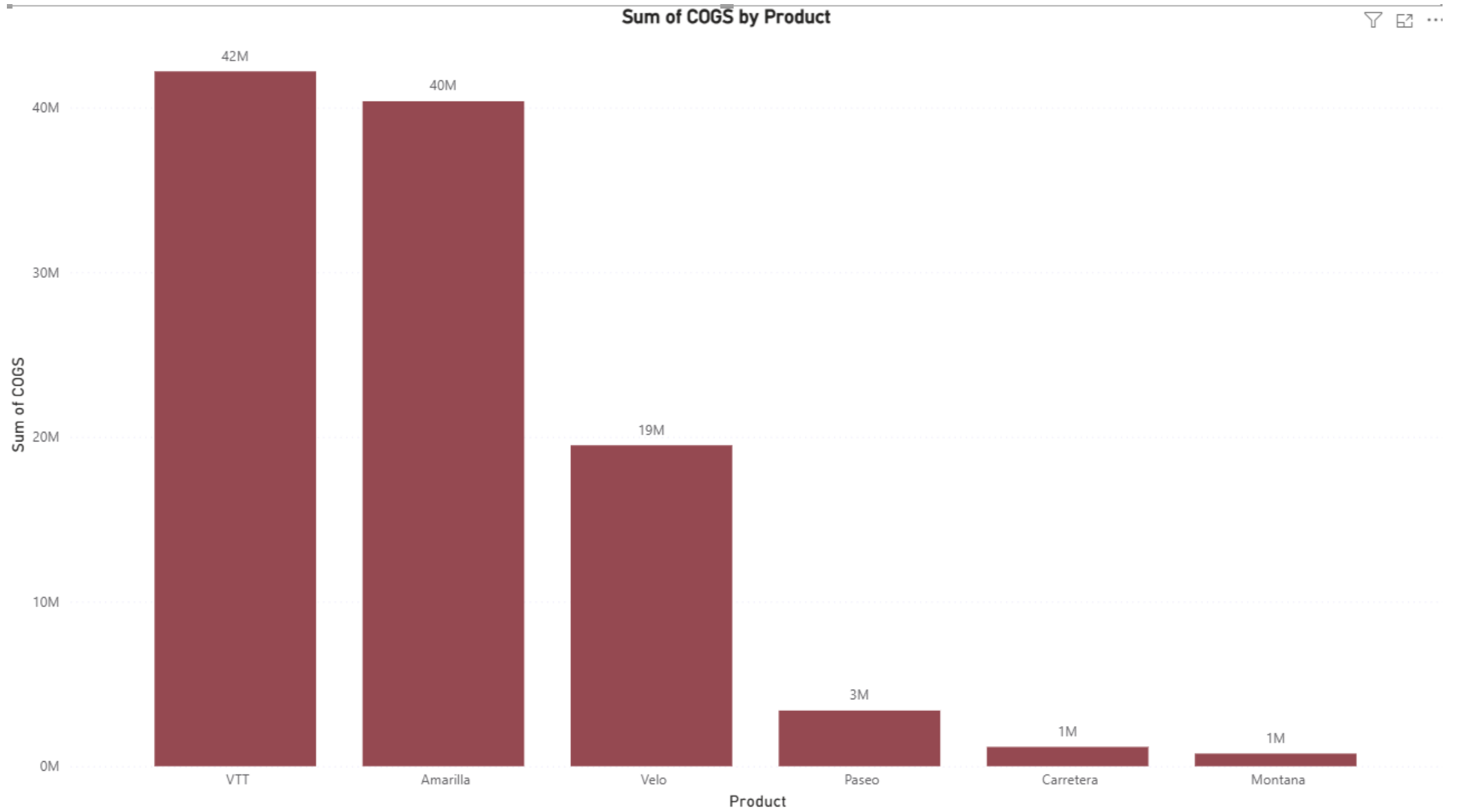


CM Ratio by Product



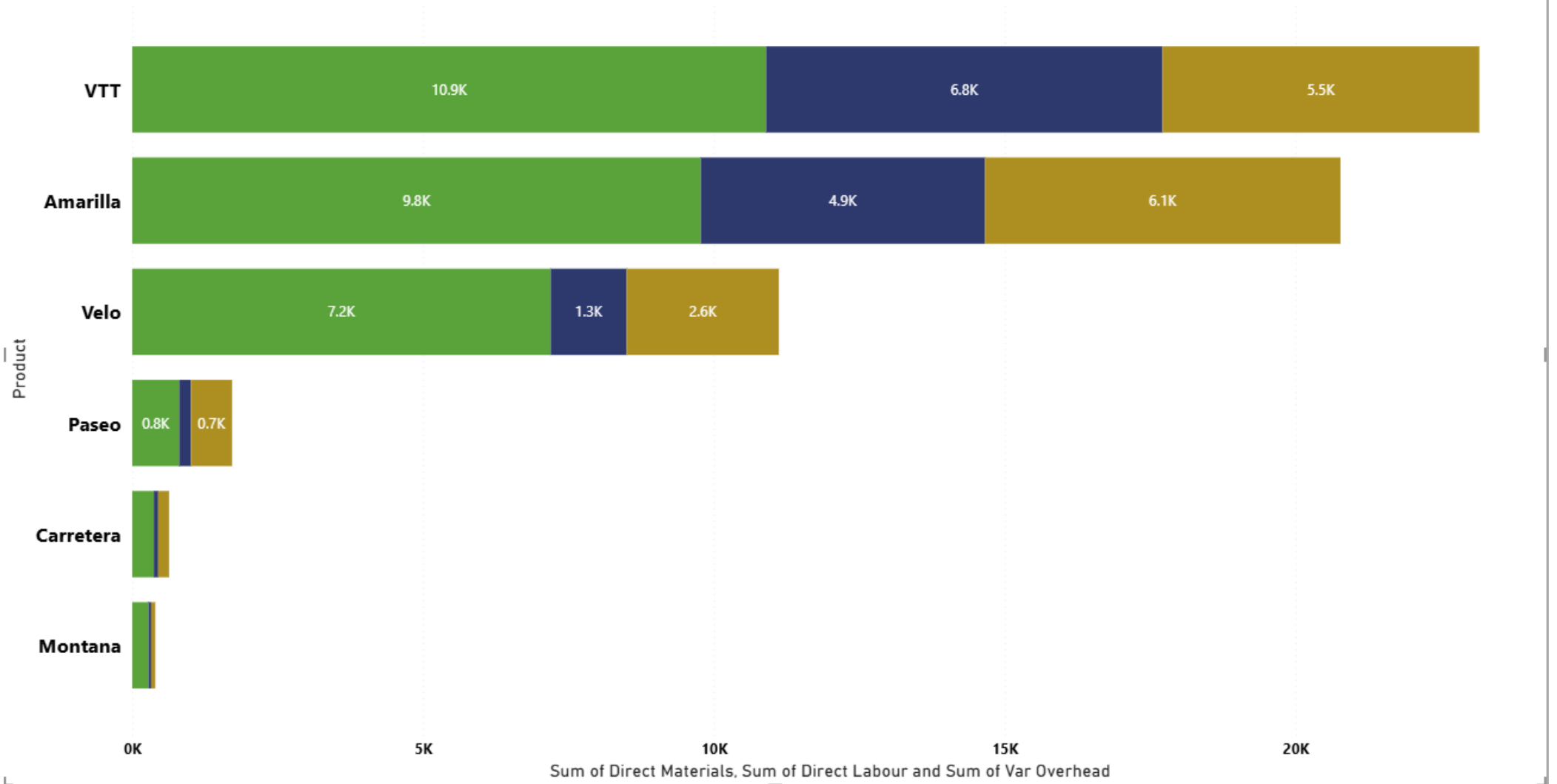
Sales vs Contribution Margin by Product



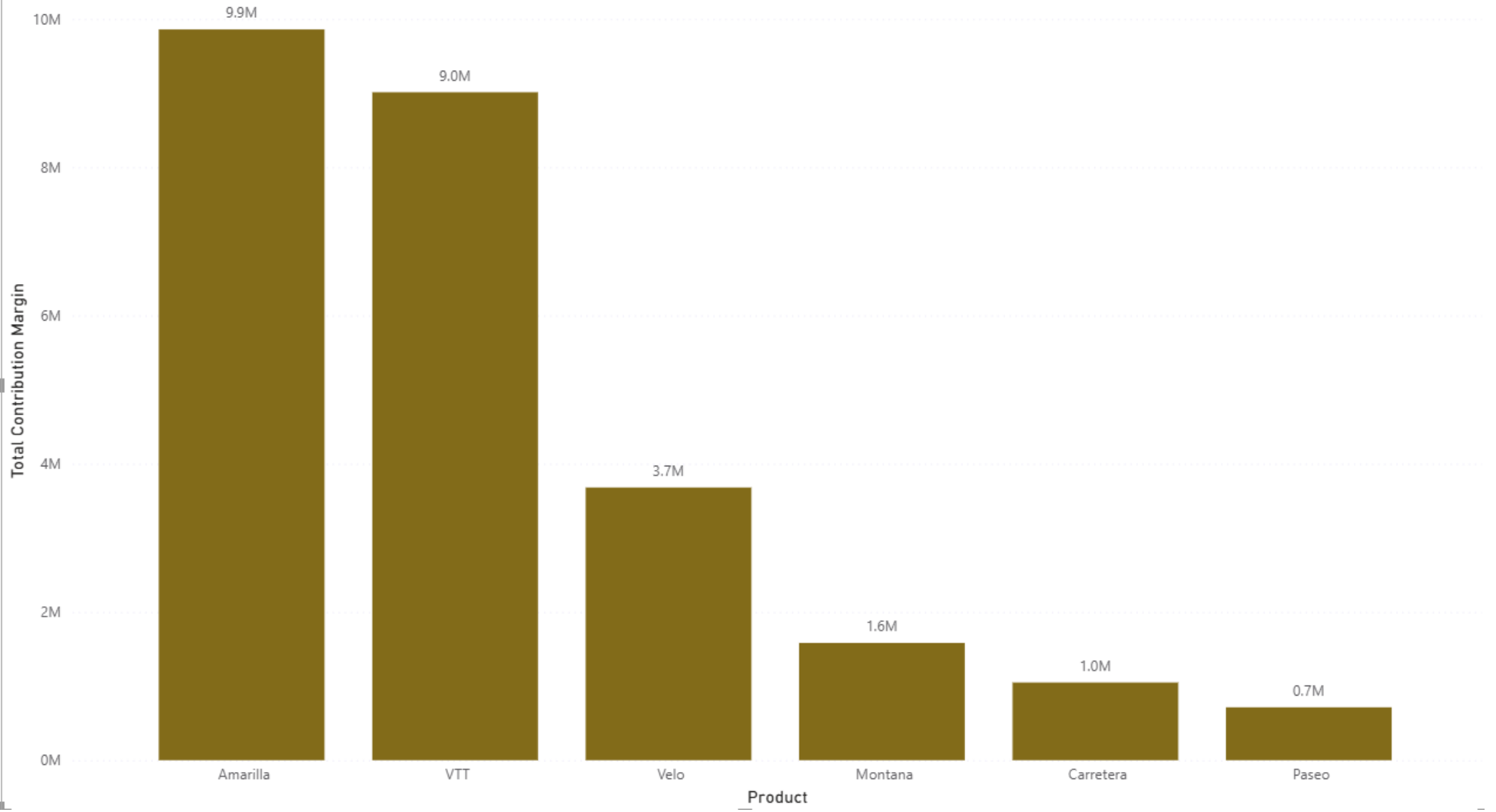


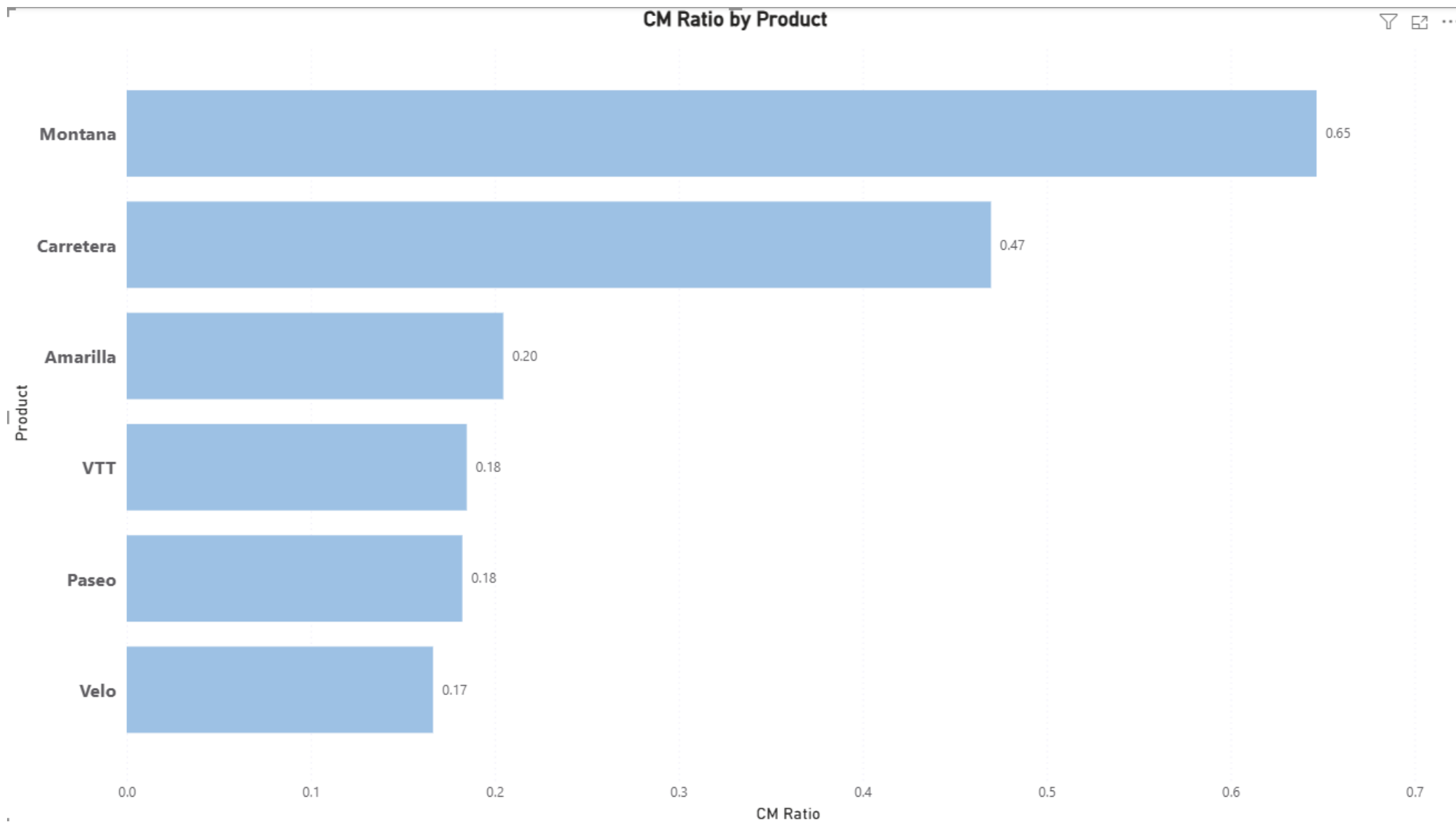
Manufacturing Cost Structure by Product

● Sum of Direct Materials ● Sum of Direct Labour ● Sum of Var Overhead



Total Contribution Margin by Product





Sales vs Contribution Margin by Product

Product ● Amarilla ● Carretera ● Montana ● Paseo ● Velo ● VTT

